5-year Business Plan

Caneiro Group

Email

caneirogroup@example.com
example.com

Phone

p. 805.555.0155
f. 805.555.0156

Address

456 7th Street
Santa Monica, CA

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Executive summary

Write this last so that you can summarize the most important points from your business plan.

Provide a concise but positive description of your company, including objectives and accomplishments. For example, if your company is established, consider describing what it set out to do, how it has accomplished goals to date, and what lies ahead. If new, summarize what you intend to do, how and when you intend to do it, and how you think you can overcome major obstacles (such as competition).

You can also choose to use the following four subheadings to organize and help present the information for your executive summary.

Note: to delete any tip, such as this one, just click the tip text and then press the spacebar.

Highlights

Summarize key business highlights. For example, you might include a chart showing sales, expenses, and net profit for several years.

Objectives

For example, include a timeline of the goals you hope to achieve.

Mission statement

If you have a mission statement, include it here. Also include any essential points about your business that are not covered elsewhere in the executive summary.

Key to success

Describe unique or distinguishing factors that will help your business plan succeed.

Description of business

Give a positive, concise, and fact-based description of your business: what it does, and what is going to make it unique, competitive, and successful. Describe specific features that will make your business attractive to potential customers and identify your company's primary goals and objectives.

Company ownership/legal entity

Indicate whether your business is a sole proprietorship, corporation (type), or partnership. If appropriate, define the business type (such as manufacturing, merchandising, or service).

If licenses or permits are required, describe the requirements for acquiring them and where you are in the process.

If you have not already stated whether this is a new independent business, a takeover, a franchise, or an expansion of a former business, include that here.

Location

Remember that location is of paramount importance to some types of businesses, less so for others.

- If your business does not require specific location considerations, that could be an advantage, and you should note it here.
- If you have already chosen your location, describe the highlights—you can use some of the factors outlined in the next bullet as a guide or other factors that are essential considerations for your business.
- If you do not yet have a location, describe the key criteria for determining a suitable location for your business.

Consider the following examples (note that this is not an exhaustive list, and you might have other considerations as well):

What kind of space are you seeking and where? Is there a particular area that would be especially desirable from a marketing viewpoint? Must you have a ground-floor location? If so, must your location be easily accessible by public transportation?

If you are considering a specific site or comparing sites, the following may be important: How is the access/traffic flow? Are the parking facilities adequate? Is the street lighting sufficient? Is it close to other businesses or venues that might aid in drawing the type of customers you seek? If it is a storefront, does it attract attention or what must be done to make it attract the type of attention you need?

If signage is appropriate for your business: Are there local ordinances concerning signs that might adversely affect you? What type of signage would best serve your needs? Have you included the cost of signage in your start-up figures?

Interior

For some businesses, the interior of the business site is as important as the location. If that is the case for your business, describe what makes your business work well.

How have you calculated the square footage you need? Have you done advance planning to ensure that you will make the most of your space, such as what will go where?

Are there any unique requirements/modifications to the space that you will have to construct or install? Do you need landlord or other permission to do so?

If applicable, how will you display products? Does the layout have flow/features that contribute to the ambience and/or potentially help to increase sales?

Describe any specific features of your business interior that you feel give you a competitive edge over similar businesses.

Hours of operation

Self-explanatory, but important for such businesses as retail stores or seasonal ventures.

Products and services

Describe your products or services and why there is a demand for them. What is the potential market? How do they benefit customers? What is it about your products or services that gives you a competitive edge?

If you are selling several lines of products or services, describe what is included. Why did you choose this balance of offerings? How do you adjust this balance to respond to market demands?

For product-based businesses, do you have or need inventory controls? Do you have to consider "lead time" when reordering any items? Do you need an audit or security system to protect inventory?

Note:

- If your products and/or services are more important than your location, move this topic before location and hours of business.
- If you are providing only products or only services, delete the part of this heading that is inappropriate.

Suppliers

If information about your suppliers—including your financial arrangements with them—plays an important part of your business, include the relevant information in this section.

Service

Whether your business offers products or services, use this section to address the level and means of service that you provide to customers, before, during, and after the sale.

How do you make your service(s) stand out against the competition?

Manufacturing

Does your business manufacture any products? If so, describe your facilities and any special machinery or equipment.

Without revealing any proprietary information, describe the manufacturing procedure.

If it is not already covered in the Products and Services section, describe how you will sell the products you manufacture. Directly to the public? Through a wholesaler or distributor? Other?

How will you transport your products to market?

Management

How will your background or experience help you to make this business a success? How active will you be and what areas of management will you delegate to others?

Describe any other people who will be/are managing your business, including the following:

- What are their qualifications and background? (Resumes can be included in an Appendix.)
- What are their strengths or areas of expertise that support the success of your business?
- What are their responsibilities and are those clearly defined (particularly important in partnership agreements)?
- What skills does your management team lack that must be supplied by outside sources or by additional hiring?

If your business has employees, describe the chain of command. What training and support (such as a handbook of company policies) will you provide for employees? Will you provide any incentives to employees that will enhance the growth of your company?

If your business is a franchise, what type of assistance can you expect, and for how long? Include information about operating procedures and related guidance provided by the franchiser.

Fiscal management

As you write this section, consider that the way company finances are managed can be the difference between success and failure.

Based on the products or services you intend to offer, explain how you expect to make your business profitable and within what period. Will your business provide you with a good cash flow or will you have to be concerned with sizeable Accounts Receivable and possible bad debts or collections?

The full details of your start-up and operating costs should be included in the Appendix. However, you can reference appropriate tables, charts, or page numbers as you give a summary account of your start-up needs and operating budget.

- Start-up needs should include any one-time only purchases, such as major equipment or supplies, down-payments, or deposits, as well as legal and professional fees, licenses/permits, insurance, renovation/design/decoration of your location, personnel costs prior to opening; advertising or promotion.
- Once you are ready to open your business, you will need an operating budget to help prioritize expenses. It should include the money you need to survive the first three to six months of operation and indicate how you intend to control the finances of your company. Include the following expenses: rent, utilities, insurance, payroll (including taxes), loan payments, office supplies, travel, and entertainment, legal and accounting, advertising and promotion, repairs and maintenance, depreciation, and any other categories specific to your business.

You can also include information (or cross-reference other sections of this business plan if covered elsewhere) about the type of accounting and inventory control system you are using, intend to use, or, where applicable, what the franchiser expects you to use.

Start-up/acquisition summary

▶ Summarize key details concerning the starting or acquisition of your business. (If this is not applicable to your business, delete.)

As noted in the preceding section, include your table of start-up or acquisition costs in the Appendix.

Marketing

▶ How well you market your business can play a key role in its success or failure. It is vital to know as much about your potential customers as possible—who they are, what they want (and do not want), and what expectations they may have.

Market analysis

- What is your target market? (Who is most likely to buy your products or use your services?) What are the demographics? What is the size of your potential customer base?

  Where are they? How are you going to let them know who and where you are and what you have to offer?

  If you believe that you have something new, innovative or that is not available: How do you know that there is a market for it—that people are willing to pay for what you have to offer?

  Consider the market you are trying to reach: Is it growing, shrinking or static?

  What percentage of the market do you think you will be able to reach? How will you be able to grow your market share?

  Note: You might include a chart to show key points about your market potential.

Market segmentation

- Is your target market segmented? Are there various levels within the same type of business, each offering a difference in quality, price, or range of products?

  Is this market segmentation governed by geographic area, product lines, pricing, or other criteria?

  Into which market segment will your primary business fall? What percentage of the total market is this segment? What percentage of this segment will your business reach?

  Note: A pie chart is an effective way to demonstrate part-to-whole relationships, such as the percentage of the target market that falls into each major segment.

Competition

- Who else is doing what you are trying to do?

  Briefly describe several of your nearest and greatest competitors. What percentage of the market does each reach? What are their strengths and weaknesses? What can you learn from the way they do business, from their pricing, advertising, and general marketing approaches? How do you expect to compete? How do you hope to do better?

  What indirect competition will you face, such as from internet sales, department stores, or international imports?

  How will you keep abreast of technology and changing trends that may impact your business in the future?

Pricing

- How have you developed your pricing policy?

  Which of the following pricing strategies might best suit your business? Retail cost and pricing, competitive position, pricing below competition, pricing above competition, multiple pricing, price lining, pricing based on cost-plus-markup, or other?

  What are your competitors' pricing policies and how do yours compare? Are your prices in line with industry averages?

  How will you monitor prices and overhead to ensure that your business will operate at a profit?

  How do you plan to stay abreast of changes in the marketplace, to ensure that your profit margins are not adversely affected by new innovations or competition?

Advertising and promotion

- How do you intend to advertise your business?

  Which of the following advertising and promotion options offer you the best chances of successfully growing your business? Directory services, social networking websites, media (newspaper, magazine, television, radio), direct mail, telephone solicitation, seminars and other events, joint advertising with other companies, sales representatives, word-of-mouth, other?

  How will you determine your advertising budget?

  How will you track the results of your advertising and promotion efforts?

  Will you advertise regularly or conduct seasonal campaigns?

  How will your products be packaged? Have you done research to see what type of packaging will best appeal to your customers? Have you done a cost analysis of different forms of packaging?

Strategy and implementation

- Now that you have described the essential elements of your business, you may want to summarize your strategy for their implementation. If your business is new, prioritize the steps you must take to open your doors for business. Describe your objectives and how you intend to reach them and in what time parameters.

  Planning is one of the most overlooked but most vital parts of your business plan to ensure that you are in control (as much as possible) of events and the direction in which your business moves. What planning methods will you utilize?

Appendix

Start-up expenses

START-UP EXPENSES	
Business licenses	
Incorporation expenses	
Deposits	
Bank account	
Rent	
Interior modifications	
Equipment/machinery required:	
Item 1	
Item 2	
Item 3	
Total equipment/machinery	
Insurance	
Stationery/business cards	
Brochures	
Pre-opening advertising	
Opening inventory	
Other (list):	
Item 1	
Item 2	
Total startup expenses	

Determining start-up capital

- Begin by filling in the figures for the several types of expenses in the cash flow table on the following page.
- Start your first month in the table that follows with starting cash of $0 and consolidate your "cash out" expenses from your cash flow table under the three main headings of rent, payroll and other (including the amount of unpaid start-up costs in "other" in month 1).
- Continue the monthly projections in the table that follows until the ending balances are consistently positive.
- Find the largest negative balance, this is the amount needed for start-up capital for the business to survive until the break-even point when all expenses will be covered by income.
- Continue by inserting the amount of needed start-up capital into the cash flow table as the starting cash for Month 1

	MONTH 1	MONTH 2	MONTH 3	MONTH 4	MONTH 5	MONTH 6	MONTH 7	MONTH 8
Starting cash	$0.00							
Cash In:								
Cash sales paid								
Receivables								
Total cash in								
Cash out:								
Rent								
Payroll								
Other								
Total cash out								
Ending balance								
Change (cash flow)								

Cash flow

	MONTH 1	MONTH 2	MONTH 3	MONTH 4	MONTH 5	MONTH 6	MONTH 7	MONTH 8	MONTH 9	MONTH 10	MONTH 11	MONTH 12
Starting cash	$0.00											
Cash in:												
Cash sales												
Receivables												
Total cash intake												
Cash out (expenses):												
Rent												
Utilities												
Payroll (incl. taxes)												
Benefits												
Loan payments												
Travel												
Insurance												
Advertising												
Professional fees												
Office supplies												
Postage												
Telephone												
Internet												
Bank fees												
Total cash out												
Ending balance												

Income project statement

The Income Projection Statement is another management tool to preview the amount of income generated each month based on reasonable predictions of the monthly level of sales and costs/expenses. As the monthly projections are developed and entered, these figures serve as goals to control operating expenses. As actual results occur, a comparison with the predicted amounts should produce warning bells if costs are getting out of line so that steps can be taken to correct problems.

The Industrial Percentage (Ind. %) is calculated by multiplying costs/expenses by 100% and dividing the result by total net sales. It indicates the total sales that are standard for a particular industry. You may be able to get this information from trade associations, accountants, banks, or reference libraries. Industry figures are a useful benchmark against which to compare the costs/expenses of your own business. Compare your annual percentage with the figure indicated in the industry percentage column.

The following is an explanation for some of the terms used in the table that follows:

- Total Net Sales (Revenue): This figure is your total estimated sales per month. Be as realistic as possible, considering seasonal trends, returns, allowances, and markdowns.
- Cost of Sales: To be realistic, this figure must include all the costs involved in making a sale. For example, where inventory is concerned, include the cost of transportation and shipping. Any direct labor cost should also be included.
- Gross Profit: Subtract the cost of sales from the total net sales.
- Gross Profit Margin: This is calculated by dividing gross profits by total net sales.
- Controllable Expenses: Salaries (base plus overtime), payroll expenses (including paid vacations, sick leave, health insurance, unemployment insurance and social security taxes), cost of outside services (including subcontracts, overflow work and special or one-time services), supplies (including all items and services purchased for use in the business), utilities (water, heat, light, trash collection, etc.), repair and maintenance (including both regular and periodic expenses, such as painting), advertising, travel and auto (including business use of personal car, parking, and business trips), accounting and legal (the cost of outside professional services).
- Fixed Expenses: Rent (only for real estate used in business), depreciation (the amortization of capital assets), insurance (fire, liability on property or products, workers' compensation, theft, etc.), loan repayments (include the interest and principal payments on outstanding loans to the business), miscellaneous (unspecified, small expenditures not included under other accounts or headings).
- Net Profit/Loss (Before Taxes): Subtract total expenses from gross profit.
- Taxes: Inventory, sales, excise, real estate, federal, state, etc.
- Net Profit/Loss (After Taxes): Subtract taxes from net profit before taxes.
- Annual Total: Add all monthly figures across the table for each sale and expense item.
- Annual Percentage: Multiply the annual total by 100% and divide the result by the total net sales figure. Compare to industry percentage in first column.

	IND. %	JAN.	FEB.	MAR.	APR.	MAY	JUN.	JUL.	AUG.	SEP.	OCT.	NOV.	DEC.	ANN. TOT.	ANNUAL %
Est. Net sales															
Cost of sales															
Gross profit															
Controllable expenses:															
Salaries/wages															
Payroll expenses															
Legal/accounting															
Advertising															
Travel/auto															
Dues/subs.															
Utilities															
Misc.															
Total controllable exp.															
Fixed expenses:															
Rent															
Depreciation															
Insurance															
Permits/licenses															
Loan payments															
Misc.															
Total fixed expenses															
Total expenses															
Net profit/loss before taxes															
Taxes															
Net profit/loss after taxes															

Profit and loss statement

This table contains the same basic information as the income projection statement. Established businesses use this form of statement to give comparisons from one period to another. Many lenders may require profit and loss statements for the past three years of operations.

Instead of comparing actual income and expenses to an industrial average, this form of the profit and loss statement compares each income and expense item to the amount that was budgeted for it. Most computerized bookkeeping systems can generate a profit and loss statement for the period(s) required, with or without budget comparison.

Profit and loss, budget vs. actual: (*starting month, year - ending month, year*.)

	STARTING MONTH, YEAR— ENDING MONTH, YEAR	BUDGET	AMOUNT OVER BUDGET
Income:			
Sales			
Sales Other			
Total income			
Expenses:			
Salaries/wages			
Payroll expenses			
Legal/accounting			
Advertising			
Travel/auto			
Dues/subs.			
Utilities			
Rent			
Depreciation			
Permits/licenses			
Loan repayments			
Misc.			
Total expenses			
Net Profit/Loss			

Balance sheet

Following are guidelines for what to include in the balance sheet: (For use in established businesses)

- Assets: Anything of value that is owned or is legally due to a business. Total assets include all net values; the amounts that result from subtracting depreciation and amortization from the original cost when the asset was first acquired.

Current assets

Cash—Money in the bank or resources that can be converted into cash within 12 months of the date of the balance sheet.

- Petty Cash—A fund of cash for small, miscellaneous expenditures.
- Accounts Receivable—Amounts due from clients for merchandise or services.
- Inventory—Raw materials on hand, work-in-progress, and all finished goods (either manufactured or purchased for resale).
- Short-term Investments—Interest or dividend-yielding holdings expected to be converted to cash within a year; stocks, bonds, certificates of deposit and time-deposit savings accounts. These should be shown at either their cost or current market value, whichever is less. Short-term investments may also be called "temporary investments" or "marketable securities."
- Prepaid Expense—Goods, benefits, or services that a business pays for or rents in advance, such as office supplies, insurance, or workspace.
- Long-term Investments—Holdings that a business intends to retain for at least a year. Also known as long-term assets, these are usually interest or dividend paying stocks, bonds, or savings accounts.
- Fixed Assets—This term includes all resources that a business owns or acquires for use in its operations that are not intended for resale. They may be leased rather than owned and, depending upon the leasing arrangements, may have to be included both as an asset for the value and as a liability. Fixed assets include land (the original purchase price should be listed, without allowance for market value), buildings, improvements, equipment, furniture, vehicles.

Liabilities:

- Current Liabilities: Include all debts, monetary obligations, and claims payable within 12 months.
- Accounts Payable—Amounts due to suppliers for goods and services purchased for the business.
- Notes Payable—The balance of the principal due on short-term debt, funds borrowed for the business. Also includes the current amount due on notes whose terms exceed 12 months.
- Interest Payable—Accrued amounts due on both short and long-term borrowed capital and credit extended to the business.
- Taxes Payable—Amounts incurred during the accounting period covered by the balance sheet.
- Payroll Accrual—Salaries and wages owed during the period covered by the balance sheet.

- Long-term Liabilities—Notes, contract payments, or mortgage payments due over a period exceeding 12 months. These should be listed by outstanding balance less the current position due.
- Net Worth—Also called owner's equity. This is the amount of the claim of the owner(s) on the assets of the business. In a proprietorship or partnership, this equity is each owner's original investment plus any earnings after withdrawals.

Most computerized bookkeeping systems can generate a balance sheet for the period(s) required.

Note: Total assets will always equal total liabilities plus total net worth. That is, the bottom-line figures for total assets and total liabilities will always be the same.

ASSETS
Current assets:
Cash
Petty cash
Accounts receivable
Inventory
Short-term investment
Prepaid expense
Long-term investment
Fixed assets:
Land
Buildings
Improvements
Equipment
Furniture
Automobiles/vehicles
Other assets:
Item 1
Item 2
Item 3
Total assets:

LIABILITIES
Current liabilities:
Accounts payable
Notes payable
Interest payable
Taxes payable:
Federal income tax
State income tax
Self-employment tax
Sales tax (SBE)
Property tax
Payroll accrual
Long-term liabilities
Notes payable
Net worth/owner's equity/retained earnings
Total liabilities:

Sales forecast

▶ This information can be shown in chart or table form, either by months, quarters, or years, to illustrate the anticipated growth of sales and the accompanying cost of sales.

Milestones

This is a list of goals that your business may be striving to reach, by start and completion dates, and by budget. It can also be presented on a table or chart.

Break-even analysis

Use this section to evaluate your business profitability. You can measure how close you are to achieving that break-even point when your expenses are covered by the amount of your sales and are on the brink of profitability.

A break-even analysis can tell you what sales volume you are going to need to generate a profit. It can also be used as a guide for setting prices.

There are three basic ways to increase the profits of your business: generate more sales, raise prices, and/or lower costs. All can affect your business: if you raise prices, you may no longer be competitive; if you generate more sales, you may need added personnel to service those sales which would increase your costs. Lowering the fixed costs your business must pay each month will have a greater impact on the profit margin than changing variable costs.

- Fixed costs: Rent, insurance, salaries, etc.
- Variable costs: The cost at which you buy products, supplies, etc.
- Contribution Margin: This is the selling price minus the variable costs. It measures the dollars available to pay the fixed costs and make a profit.
- Contribution Margin Ratio: This is the number of total sales minus the variable costs, divided by total sales. It measures the percentage of each sales dollar to pay fixed costs and make a profit.
- Break-even Point: This is the amount when the total sales equal the total expenses. It is the minimum sales dollar you need to reach before you make a profit.
- Break-even Point in Units: For applicable businesses, this is the total of fixed costs divided by the unit selling price minus the variable costs per unit. It tells you how many units you need to sell before you make a profit.
- Break-even Point in Dollars: This is the total amount of fixed costs divided by the contribution margin ratio. It is a method of calculating the minimum sales dollar to reach before you make a profit.
- Note: If the sales dollars are below the break-even point, your business is losing money.

Miscellaneous documents

To back up the statements you may have made in your business plan, you may need to include any or all the following documents in your appendix:

- Personal resumes
- Personal financial statements
- Credit reports, business and personal
- Copies of leases
- Letter of reference
- Contracts
- Legal documents
- Personal and business tax returns
- Miscellaneous relevant documents.
- Photographs